



SUBCONTRACT AGREEMENT

THIS SUBCONTRACT made this ____ day of MONTH, YEAR by and between CORE West, Inc. a Nevada Corporation, 7150 Cascade Valley Court, Las Vegas, Nevada 89128, PHONE: (702) 794-0550, ELECTRONIC MAIL: sethmaurer@coreconstruction.com, (Contractor's License No. 0006144A), herein referred to as the "Contractor", and **Subcontractor Name, Address, City, State, Zip. PHONE: 000 000-0000, ELECTRONIC MAIL: _____**, (License No. _-_-), herein referred to as the "Subcontractor".

Subcontractor shall be deemed to have accepted the terms of this Subcontract upon commencing performance of any portion of the Subcontract Work as defined herein or in the absence of any objections in writing delivered to Contractor within fifteen (15) days of Subcontractor's receipt of this Subcontract.

The parties agree as follows:

SECTION ONE CONTRACT DOCUMENTS

Subcontractor shall perform Subcontract Work as defined herein at Project Name located at Project Address, City, State, Zip, herein referred to as the "Project", for Owner's Name, herein referred to as the "Owner", at Owner's Address, City, State, Zip. The Subcontract Work shall be in accordance with the Owner-Contractor agreement, the general conditions, supplementary general conditions of the contract between Owner and Contractor (collectively the "Prime Contract"), all drawings and project manuals, any addenda issued prior to execution of this Subcontract, and alternates as prepared by [Architect's Name], herein referred to as the "Architect", all of which general conditions, supplements to the general conditions of the contract between Owner and Contractor, supplements to the Owner and Contractor agreement, drawings and project manuals (hereinafter "Contract Documents"), form a part of the contract between Owner and Contractor dated Day Month, Year and hereby become a part of this Subcontract as though fully set forth in this Subcontract. All documents referenced above are available for inspection and copying by Subcontractor at its expense upon written request. Contractor reserves the right to make reasonable redactions to the Prime Contract. In the event of conflict between terms of the Contract Documents and this Subcontract, the terms of the Subcontract shall take precedence and govern the relationship between Contractor and Subcontractor.

SECTION TWO SCOPE OF SUBCONTRACT WORK

Subcontractor agrees to furnish all labor, materials, equipment, tools, scaffolding, hoisting, supervision, licenses and permits, clean-up, haul off of debris, and all other services necessary to timely and fully complete in a workmanlike manner all **DESCRIPTION** in accordance with this Subcontract; Exhibit A – Subcontract General Conditions, and in compliance with any applicable items described on Addendum 1 - State Specific Provisions, and on Attachment "A" – Scope of Work; Attachment "B" – General Provisions; Attachment "C" – Enumeration of Documents; Attachment "D" – Schedule; Attachment "E" – Insurance Conditions; Attachment "G" – Affidavit of Compliance, and all work reasonably inferable therefrom as necessary to produce the results intended, collectively referred to as the "Subcontract Work."

SECTION THREE**PAYMENT**

Subcontract Price. In accordance with this Section, Contractor agrees to pay Subcontractor for the performance of this Subcontract, the Subcontract Price of **DOLLAR AMOUNT and No/100 Dollars (\$00.00)**, subject to additions and deductions for changes in the work as agreed upon or determined, as herein provided. After receipt of payment from Owner, Contractor will pay Subcontractor each month the amount which Subcontractor has earned less retainage in an amount equal to **ten** percent (**10%**) of the value or that retainage which is allowed by the Prime Contract or the applicable state law, whichever is less. Payments shall be computed on the basis of the quantity, as approved by Owner or Owner's representative, of the Subcontract Work performed herein, less the aggregate of previous payments.

SECTION FOUR**BONDS**

Performance and/or Payment Bond. If required by Attachment A, Scope of Work, Subcontractor shall be required to provide a performance bond and payment bond in the amount of the Subcontract Price from a bonding company with an A.M. Best rating of A or better; acceptable to Contractor and holding a certificate of authority to transact surety business issued by the appropriate governmental agency where the Project is located, and any such bonds shall not be executed by an individual surety. All such bonds shall remain in effect through and including the Warranty Period. The bonds are to be provided within seven (7) days before Subcontract Work begins and, in a form, acceptable to Contractor. If bonds are not furnished within the time provided, Contractor shall have option to terminate the Subcontract. Contractor reserves the right to demand a replacement bond or other security in the event: 1) the surety is deemed in rehabilitation or liquidation, or 2) if the A.M. Best rating of the surety drops by two or more degrees. The replacement bond shall have an A.M. Best rating of A or better, or alternate security may be provided at Contractor's discretion in the form of a letter of credit from a secured financial institution.

SECTION FIVE**NOTICE INFORMATION**

Notices. Any notices or other communications required or permitted by this Subcontract shall be sufficiently given if in writing and (i) delivered personally and to individuals executing this Subcontract at the address above, (ii) sent by certified mail, return receipt requested, postage prepaid, (iii) sent by overnight express mail, addressed as shown above, or to such other address as the party concerned may substitute by written notice to the other; and/or (iv) sent by electronic mail to the email address provided above, on Attachment "A", or as otherwise designated in writing. All notices personally delivered or sent by electronic mail to a correct address shall be deemed received on the date of delivery. All notices forwarded by mail shall be deemed received on a date seven (7) days (excluding Sundays and Holidays) immediately following date of deposit in the U.S. Mail. Provided, however, the return receipt indicating the date upon which all notices were received shall be prima facie evidence that such notices were received on the date on the return receipt.

WHEREFORE, the parties have entered into this Subcontract as of the day and year first written above.

CONTRACTOR:**SUBCONTRACTOR:****CORE West, Inc.****Subcontractor Name**

By: _____

By: _____

Its: _____

Its: _____

Date: _____

Date: _____

Draft



EXHIBIT A
SUBCONTRACT GENERAL CONDITIONS

SECTION ONE
PAYMENT

1.1 Timely Payments. Provided that Subcontractor has satisfied all the requirements for payment set forth in this Subcontract, progress payments will be made to Subcontractor within seven (7) days after the Contractor receives payment for such work from Owner. If Contractor receives payment from Owner for less than the full value of materials delivered to the site but not yet incorporated into the Subcontract Work, the amount due to Subcontractor on account of such materials delivered to the site shall be proportionately reduced. No payment to Subcontractor shall operate as approval or acceptance of the Subcontract Work. Upon complete and timely performance of the Subcontract Work, submission of all required documentation including written warranties, if required, lien releases and waivers in compliance with applicable state law, and final approval and acceptance of the Subcontract Work by Contractor and Owner, Contractor will make final payment to Subcontractor of the balance due under this Subcontract within seven (7) days after full payment for such Subcontract Work has been received by Contractor from Owner or in accordance with the laws of the state in which the Project is located, whichever is longer.

1.2 Schedule of Values. A Schedule of Values that allocates the Subcontract Price among the various items comprising the Subcontract Work shall be provided by Subcontractor for Contractor's acceptance, and for Owner's acceptance if required by the Prime Contract before Subcontractor's first application for payment. Upon acceptance, the Schedule of Values shall become a part of this Subcontract and shall not be changed without Contractor's written approval.

1.3 Deductions. Upon giving Subcontractor written notice, Contractor may deduct from any amount due or to become due to Subcontractor any sum or sums owed by Subcontractor to Contractor. In the event of any breach by Subcontractor of any provision or obligation of this Subcontract, or in the event of the assertion by other parties of any claim or lien against Owner, Contractor and/or Contractor's Surety, arising out of or related to Subcontractor's performance of this Subcontract, Contractor shall have the right to retain out of any progress, final or other payments otherwise due under this Subcontract or any other agreement between the parties now or hereafter in force, an amount sufficient to completely protect Contractor from any and all loss, damages or expenses, until the situation has been satisfactorily remedied or adjusted by Subcontractor as reasonably determined by Contractor. Contractor also reserves the right at its option, upon written notice, to make payment by checks payable jointly to Subcontractor and its employees, agents, subcontractors, materialmen, and suppliers, or any of them, when Contractor deems it advisable and, in any event when Subcontractor cannot provide unconditional lien waivers from any such persons or entities. Upon giving Subcontractor seven (7) days' written notice to provide acceptable lien and claim waivers, and upon failure to comply by Subcontractor, Contractor also reserves the right to make any payment directly to Subcontractor's laborers, subcontractors, materialmen, suppliers, union or union trust funds (for fringe benefits and other payments due under collective bargaining agreements, if any), or as enumerated in Addendum "1," and to deduct the amount of such payment from amounts owed to Subcontractor under this or any other agreement. In all instances in which Contractor avails itself of one or more of the steps set forth in this section, Contractor shall provide notice to Subcontractor of the action taken and the reasons for doing so.

1.4 Applications for Payment. Subcontractor shall submit applications for payment on a monthly basis and shall follow all procedures as directed by Contractor for preparation and submission of applications for payment, including but not limited to any electronic billing procedures. Contractor shall not be obligated to release funds to Subcontractor until all requirements of any such procedures have been met, including but not limited to, evidence of Subcontractor's compliance with the insurance provisions within "Attachment E" – Insurance Conditions" of this Subcontract. Subcontractor's applications for payment shall be itemized and supported by the Schedule of Values and any other substantiating data as

required by the Contract Documents and this Subcontract. Subcontractor shall submit its applications for payment by the time established by the Contractor's Project Manager, but in no event later than seven (7) days before Contractor's payment application is due to Owner. In the event Subcontractor fails to prepare and present to Contractor the payment application in a timely manner or prepares and presents to Contractor an incomplete or improper application, Contractor shall not be required to make progress payments for said month and may defer such payment to the following month provided Subcontractor then provides a timely and appropriate payment application.

1.5 Payrolls. If required by the Contract Documents, payrolls and affidavits covering all labor performed by Subcontractor for the Subcontract Work, and other required information concerning Subcontractor employees, will be submitted directly to Contractor. If required, weekly payrolls and affidavits of Subcontractors shall be submitted in the format described in the Contract Documents within three (3) days after the normal weekly payday. Payrolls must set out accurately and completely, the name, exact occupation, hourly wage rate, hourly overtime wage rate, hours worked each day, total regular and total premium time hours worked each week, gross pay, deductions (listed separately and clearly identified), and net amount paid to each employee, together with any other information required by the Contract Documents.

1.6 Payment for Stored Materials. When permitted by the Contract Documents, payments may be requested for materials and equipment delivered and suitably stored at the site for subsequent incorporation in the Subcontract Work. If approved in advance and in writing by Contractor, payment may similarly be requested for materials and equipment suitably stored off the site at an agreed upon location and shall include the costs of applicable insurance, storage, and transportation to the site. Payment for materials and equipment stored on or off the site shall be subject to Section 1.12 of this Subcontract and shall be further conditioned upon compliance by Subcontractor with procedures satisfactory to Contractor and Owner to establish title to such materials and equipment or otherwise to protect Contractor's and Owner's respective interests.

1.7 Title to Work. Subcontractor warrants that title to all work, materials, and equipment covered by an application for payment will pass to Owner no later than the time of payment. Subcontractor further warrants that upon submittal of an application for payment, all work for which certificates for payment have been previously issued and payments received from Contractor shall, to the best of Subcontractor's knowledge, information, and belief, be free and clear of liens, claims, security interests or encumbrances.

1.8 Payroll Taxes. Subcontractor agrees that the failure to reflect tax withholdings from employees on required documentation shall be a material breach of this Subcontract and, as a further condition precedent to Contractor's obligation to make any payment to Subcontractor, no payment shall be due and owing to Subcontractor until such time as proper documentation is received by Contractor. In the event Subcontractor uses independent contractors (as defined by the Internal Revenue Service), a valid and enforceable independent contractor agreement shall also be required.

1.9 Lien Waivers. In exchange for and as a further condition precedent to payment from Contractor, Subcontractor shall provide, in a form satisfactory to Contractor and as required by applicable law, lien releases and claim waivers in the amount of and through the date of the application for payment from Subcontractor and its sub-subcontractors, materialmen and suppliers. Subcontractor shall provide conditional lien waivers for the current month before payment is received followed by unconditional lien waivers in the next application for payment. Alternatively, if the Textura payment system applies to the Subcontract Work, unconditional lien waivers in compliance with the Textura payment system and applicable law shall be required with the application for payment. Subcontractor shall pay for all materials furnished and work and labor performed for Subcontractor under this Subcontract.

1.10 Withholding of Progress Payments. Contractor may withhold monthly progress payments, in whole or in part, in order to protect Contractor and/or Owner from loss because of: (i) unsatisfactory prosecution of the Subcontract Work; (ii) failure of Subcontractor to make payments properly to its sub-subcontractors, materialmen or suppliers or to make payments for labor (including customary fringe benefits and payments due under collective bargaining agreements, payments due or obligated to be paid to any union, or payments due or obligated to be due to any trusts affiliated with any

union), materials or equipment, transportation or shipping costs, taxes, fees or any other charges arising out of or related to the Subcontract Work; (iii) reasonable doubt that the Subcontract Work can be completed for the then remaining unpaid balance of the Subcontract Price; and/or (iv) any other conditions which arise in connection with the Subcontract Work which, in Contractor's reasonable opinion, will result in loss to Owner and/or Contractor. Contractor shall provide notice to Subcontractor in accordance with applicable law should Contractor withhold all or a portion of a progress payment.

1.11 Retained Percentage. None of the terms of payment provided in this Subcontract shall require Contractor to make payments in an amount that would leave an insufficient balance to cover the retained percentage as referenced in Section 3 of this agreement.

1.12 Condition Precedent to Payment. Notwithstanding anything in this Subcontract to the contrary, Subcontractor agrees that a condition precedent to payment by Contractor to Subcontractor of any payment required under this Subcontract is that Owner shall have first paid the payment applied for to Contractor for the amount of the Subcontract Work, and that payment for either progress payments or for final payment and/or for release of any retention is not due and owing to Subcontractor as provided in this Subcontract until Owner has made such payment to Contractor. Subcontractor further recognizes and acknowledges that all payments to Subcontractor will be made solely out of funds actually received by Contractor from Owner for the Subcontract Work. Subcontractor further acknowledges that it is sharing, to the extent of payments to be made to Subcontractor, in the risk that Owner may fail to make one or more payments to Contractor for all or a portion of the Subcontract Work. In addition, if Contractor has provided a payment bond, no payment shall be due from Contractor's surety, nor shall any claim under any such payment bond exist in favor of Subcontractor, unless and until the conditions set forth in this Section have been satisfied.

1.13 Final Payment. Subject to Section 1.12, final payment, constituting the entire unpaid balance of the Subcontract Price, will be paid by Contractor to Subcontractor within seven (7) days or any longer period under applicable law from Contractor's receipt of payment from Owner for the Subcontract Work and when all of the following have occurred: (i) the Subcontract Work has been fully completed, including all Punch List items; (ii) the final approval of the Subcontract Work is provided by Owner and, as applicable, the Architect or Engineer ; (iii) Subcontractor has submitted a complete and proper final application for payment; (iv) Contractor has received unconditional lien releases and waivers in a form satisfactory to Contractor from Subcontractor and from each sub-subcontractor, material supplier, and person providing labor, materials, or equipment to the Project for or on behalf of Subcontractor; (v) the Subcontract Work has passed all applicable government and regulatory inspections; (vi) Subcontractor has provided Contractor with copies of all applicable written warranties, maintenance and operational information and as-built drawings pertaining to the Subcontract Work; (vii) Subcontractor has fully complied with the Contract Documents; and (viii) Subcontractor has provided a written consent of its surety to final payment, if bonds have been provided by Subcontractor.

1.14 Independent Contractor. Subcontractor is an independent contractor. Subcontractor agrees to defend, indemnify, and hold harmless Contractor and to reimburse Contractor for any expense or liabilities incurred under applicable unemployment statutes in connection with employees of Subcontractor, including a sum equal to benefits paid to those who were Subcontractor's employees, where such benefit payments are charged to Contractor pursuant to any state unemployment compensation statute.

SECTION TWO

PROSECUTION OF WORK AND DELAYS

2.1 Generally. Subcontractor shall begin the Subcontract Work in accordance with the Project Schedule promptly after receipt of written notice from Contractor to proceed. Subcontractor shall furnish all labor, supervision, tools, equipment, materials and supplies necessary for the performance of the Subcontract Work in a proper and diligent manner whenever such work or any part of it, becomes available, or at such other time or times as Contractor may direct. Subcontractor shall not subcontract any portion of the Subcontract Work without advance written notice to and receipt of written permission

from Contractor. Subcontractor shall promote the general progress of the entire construction, and shall not, by delay or otherwise, interfere with or hinder the work of Contractor or of any other subcontractor. Any materials that are to be furnished by Subcontractor shall be furnished in sufficient time to enable Subcontractor to perform and complete the Subcontract Work within the times provided for herein. Subcontractor shall notify Contractor of any major deliveries associated with Subcontractor's Scope of Work a minimum of seven (7) days in advance. Subcontractor shall review and approve all value engineering and value-added changes with Contractor before communicating with Owner or Architect. Subcontractor shall coordinate the Subcontract Work with that of all other subcontractors, suppliers, and contractors working on the Project and shall obtain any and all shop drawings, product data, or other documents necessary for such coordination.

2.2 Time is of the Essence. It is hereby further understood and mutually agreed that the beginning, rate, progress, and the time for completion of the Subcontract Work are essential conditions of this Subcontract. It is further agreed that time is of the essence of the performance of the Subcontract Work.

2.3 Scheduling. Subcontractor will at all times keep itself fully informed as to the Project schedule established by Contractor. Subcontractor will faithfully prosecute the Subcontract Work, at such times and in such order as Contractor may consider necessary to keep the Subcontract Work sufficiently in advance of the other parts of the Project to avoid any delay in the completion of the Project as a whole. Subcontractor acknowledges that Contractor will have the right to decide the time or order in which the various portions of the Subcontract Work will be performed. Subcontractor will provide daily progress reports accurately recapping the progress of the Subcontract Work and shall notify Contractor of any issue that may impact the schedule, including, when necessary, a recovery schedule specific to the Subcontract Work. Subcontractor agrees and acknowledges that the Project schedule, as established by Contractor, may be reasonably changed by Contractor. Upon request by Contractor, Subcontractor will furnish to Contractor, in writing, a schedule covering the Subcontract Work. Such schedule will show in detail the procurement, submittals, shop drawings, fabrication, delivery dates and installation activities of all major components of the Subcontract Work. Subcontractor agrees to update such schedule and to meet with Contractor monthly, or more frequently as reasonably required by Contractor.

2.4 Delays. If Subcontractor neglects, fails, or refuses to complete the Subcontract Work within the time specified in the Project schedule, Subcontractor acknowledges that Contractor will be damaged and the damages that may be incurred by Contractor will be reimbursed by Subcontractor. Therefore, Subcontractor agrees that Subcontractor shall be liable to Contractor for, and that Contractor may withhold or deduct from, any payments due or that may become due or that otherwise would be due to Subcontractor under this or any other agreement, the amount of any and all liquidated damages that may be assessed against Contractor by Owner which are, in whole or in part, attributable to or caused by Subcontractor's failure to furnish the materials and/or perform the Subcontract Work within the time fixed or in the manner provided for herein, as determined by Contractor in its discretion, reasonably exercised, as well as any actual damages sustained by Contractor as a result of any Subcontractor delay in completion of the Subcontract Work. Contractor's actual damages shall be subject to any provision in the Prime Contract that waives consequential damages or otherwise limits Contractor's damages.

2.5 Subcontractor Obligations. Subcontractor agrees that all Subcontract Work as set forth in the Contract Documents will be performed strictly in accordance with the Subcontract Documents and in accordance with the highest standards of construction quality consistent with the nature of the Project. Subcontractor shall cooperate fully with Contractor and other subcontractors performing work on the Project. Subcontractor shall perform the Subcontract Work in accordance with and subject to each of the provisions of the Prime Contract to the full extent that each such provision is applicable to the Subcontract Work, including, but not limited to, requirements imposed by Owner's lender (when applicable).

Subcontractor has included all licenses, permits, fees and inspections required for its Scope of Work unless explicitly stated otherwise. Subcontractor shall coordinate all required inspections associated with Subcontractor's Scope of Work. A 24-hour notice must be provided to Contractor prior to scheduling any inspections. Contractor may require a preconstruction quality assurance meeting with Subcontractor prior to Subcontractor commencing Work on the Project. Subcontractor shall

work with Contractor to coordinate any preconstruction reviews, mock-ups, in-situ mock-ups, and inspections necessary to establish and verify adherence with Owner and designer quality standards and expectations.

2.6 Inspection. Subcontractor shall notify Contractor of any and all items shown in the Contract Documents related to the Subcontract Work that do not meet general code requirements or are not in accordance with applicable laws, ordinances, or similar regulations. Subcontractor shall review Project site conditions to ensure they are acceptable for the performance of the Subcontract Work. If any part of the Subcontract Work depends on proper execution by or the results of the work of Contractor, any other subcontractor or any other separate contractor on the Project, Subcontractor shall inspect and promptly report to Contractor any apparent discrepancies or defects in such work that renders it unsuitable for the Subcontract Work. Failure of Subcontractor to so inspect and report shall constitute an acceptance by Subcontractor of the work of the Contractor, other subcontractor(s) or other separate contractor as fit and proper to receive the Subcontract Work.

2.7 Contractor Responsible Representative. Contractor shall designate one or more persons in writing who shall be the Contractor's responsible representative(s). Such responsible representative(s) shall be the only person(s) Subcontractor shall communicate with regarding, and who has the authority to provide, instructions, orders and/or direction.

2.8 Subcontractor Responsible Representative. Subcontractor shall designate a responsible representative in writing who shall be present on the Project site at all times when the Subcontract Work is being performed. The Subcontractor representative shall be in charge of scheduling, quality control, and safe execution of the Subcontract Work and shall attend all required meetings held at the Project site. The Subcontractor representative shall be authorized to receive and proceed with instructions from Contractor's on-site representative, and to sign any extra work orders or back charges that occur during the Subcontract Work. Subcontractor may also designate in writing another representative to sign any extra work orders or back charges. Once assigned to the Project, no Subcontractor representative shall be replaced without the written permission of Contractor. To be acceptable to Contractor, any replacement Subcontractor representative must have an understanding of and ensure all quality control measures and procedures will be met, including, if required additional mock-ups.

2.9 Correction of Work. Any Subcontract Work that does not conform to the Contract Documents, industry standards, laws and applicable building codes, or any finish work that is flawed shall be corrected in a timely manner by whatever means necessary, whether observed before or during any warranty period. Further, Subcontractor shall correct at its own expense any nonconforming Subcontract Work for which it is responsible including, without limitation, damage to the work of any other subcontractor caused by Subcontractor. If Subcontractor refuses to comply after three (3) Working Days' notice, Subcontractor shall be responsible for all costs incurred to correct the Subcontract Work and Contractor may also exercise any additional remedies available under Section 6 of this Subcontract.

2.10 Time Extensions. If performance of the Subcontract Work is delayed or interfered with for any reason beyond Subcontractor's control, and without Subcontractor's fault or responsibility, including acts of God, fire, terrorism, war, earthquakes, epidemics, or pandemics, Subcontractor may request an extension of time, as hereinafter provided, but shall not be entitled to any increase in the Subcontract Price or to damages or additional compensation as a consequence of such delays or interference, except to the extent that the Prime Contract entitles Contractor to compensation for such delays and then only to the extent of any amount that Contractor may, on behalf of Subcontractor, recover from Owner or other responsible party for such delays.

As to any delays or interferences caused by or resulting from Owner, Subcontractor shall similarly not be entitled to any increase in the Subcontract Price or to damages or additional compensation as a consequence of such delays or interference, except to the extent that the Prime Contract entitles Contractor to compensation for such delays and then only to the extent of any amount that Contractor may, on behalf of Subcontractor, recover from Owner or other responsible party for such delays.

Subcontractor acknowledges and agrees that an extension of time will be permitted for a delay only to the extent that such delay (i) is not caused, or could not have been reasonably anticipated by Subcontractor, (ii) could not be limited or avoided by Subcontractor providing notice to Contractor sufficiently in advance to permit Contractor to provide timely notice to Owner of the delay, and (iii) adversely affects the critical path construction sequence. Notwithstanding the foregoing, a time extension shall only be granted for a delay that is in excess of one (1) day. In addition, no allowance for an extension of time, for any cause whatever, shall be claimed by Subcontractor, unless Subcontractor shall have made a written request to Contractor for such extension within three (3) days after the cause of such extension occurred, or if the Prime Contract provides for a shorter period, within sufficient time to permit Contractor to give notice to Owner within the time allowed by the Prime Contract for such notice.

2.11 Submittals/Shop Drawings/Approvals. All submittals and shop drawings of Subcontractor shall be submitted for approval of Architect or Engineer through Contractor and all other communications between Subcontractor and Architect, Engineer, or Owner with respect to Subcontract Work shall be transmitted through Contractor. All submittals and shop drawings shall be delivered to Contractor within twenty-five (25) days after the date of this Subcontract unless (i) the Project schedule indicates an earlier delivery or (ii) the Contract Documents or General Provisions require an earlier delivery, and if so required, Subcontractor shall deliver submittals and shop drawings in a time appropriate to sustain the progress of the schedule and meet the requirements of the Contract Documents. Subcontractor shall coordinate its submittals with that of any other subcontractors and material suppliers whose work is related to, or which impacts or is impacted by the Subcontract Work. Subcontractor is responsible for the coordination, accuracy, and completeness of each of its submittals. Each shop drawing and/or product data sheet shall be stamped by Subcontractor to indicate its review and approval. Any deviation from the Contract Documents shall be clearly identified and appropriate material substitution request forms completed.

2.12 Layout. Subcontractor shall furnish all layout in connection with the Subcontract Work, unless specifically provided for otherwise, and shall conform with the initial lines and grades established in the Prime Contract.

2.13 As Built Drawings. Subcontractor shall maintain documents accurately portraying the "As Built" Subcontract Work on a weekly basis. Subcontractor shall transmit, on a monthly basis, either in hard copy or electronic format, as required by Contractor, such "As Built" documents, to include, but not limited to, drawings. Compliance with the requirement to provide timely, complete, and accurate "As Built" documents is a condition precedent to the obligation of Contractor to make any payment otherwise due to Subcontractor under this Subcontract.

2.14 Clean-Up. On a daily basis, Subcontractor shall cleanup all refuse and rubbish caused by Subcontractor. On completion of any unit of the Subcontract Work, and upon final completion of the Subcontract Work, Subcontractor, in addition to cleaning up all refuse and rubbish caused by Subcontractor, shall remove promptly all temporary protections, excess materials, tools and structures, and the like, which may have been brought on the premises or erected by Subcontractor. In addition, Subcontractor shall remove marks, stains, fingerprints, soil, paint, mortar from ceramic tile, marble and all other finish surfaces and shall leave all surfaces, fixtures, cabinetwork, and equipment in an undamaged and new condition. In the event of the failure of Subcontractor to do any of the above, Contractor may, after giving twenty-four (24) hours written notice, clean up the premises at the cost and expense of Subcontractor, including an additional fifteen percent (15%) of such costs for Contractor's overhead and profit.

2.15 Failure to Prosecute Subcontract Work. If Subcontractor at any time refuses or neglects to supply a sufficient number of properly skilled workers, or materials or equipment of the proper quality and quantity, or fails in any respect to prosecute the Subcontract Work with promptness and diligence, or causes by any action or omission the stoppage or interference with the work of Contractor or other subcontractors, or fails in any respect to comply with any of the other requirements of this Subcontract, Contractor may, at its option, invoke its rights and remedies as set forth in Section Six of this Subcontract. Notwithstanding, Subcontractor shall be responsible for all extra costs resulting from the failure to provide needed labor or materials to meet the Project schedule. If, in Contractor's sole discretion, any person employed by Subcontractor is deemed to be unqualified to perform the Subcontract Work or has failed to adhere to the Project safety

rules, such person shall be removed upon written request from Contractor and shall not be permitted to return without the written consent of Contractor.

2.16 Overtime Work. Contractor may, if it deems necessary, direct Subcontractor to work overtime. If so instructed, Subcontractor shall work overtime as directed and, provided that Subcontractor is not in default of any of the provisions of this Subcontract, Contractor shall pay Subcontractor the actual additional premium wages paid by Subcontractor plus taxes imposed by law on such additional wages. However, if Subcontractor is, in Contractor's reasonable opinion, not proceeding in accordance with the Project schedule, Subcontractor shall at its own expense, work such overtime as Contractor may deem necessary to comply with the Project schedule and to complete the Subcontract Work in a timely manner.

2.17 Punch List. Failure of Subcontractor to correct or complete "Punch List" items within ten (10) days after receipt of a list of such items, thereby causing delay in release of retention of others, will be subject to interest at the rate of 10% per annum of the retainage being held under the Prime Contract and shall be deemed a breach of this Subcontract entitling Contractor to exercise any remedies available under Section 6 of this Subcontract. Such interest shall be deducted from Subcontractor and distributed on a pro-rata basis to the other affected subcontractors. In addition, should it be necessary for the Architect or other authorized Owner's Representative to make more than two (2) inspection trips to determine if the Work is substantially complete because of Subcontractor's failure to timely and promptly correct or complete Punch List items, any charges for such additional trips assessed against Contractor shall be, in turn, assessed against and paid for by Subcontractor.

2.18 Warranty. Subcontractor agrees to promptly make good without cost to Owner or Contractor any and all defects due to faulty workmanship and/or materials which may appear within the guarantee or warranty period so established in the Contract Documents, and if no such period be stipulated in the Contract Documents, then such guarantee shall be in accordance with Addendum "1" and shall be effective upon completion and acceptance of the Project by Owner. Subcontractor further agrees to execute any special guarantees as provided by the terms of the Contract Documents, prior to final payment. Subcontract Work that does not conform to the requirements of the Contract Documents, including substitutions not properly approved and authorized, shall be considered defective. Subcontractor shall also assemble and submit to the Contractor complete copies in loose-leaf binders and/or electronic copies of all operating and maintenance data for all equipment installed as part of the Subcontract Work, all as may be required by the Contract Documents.

2.19 Other Contracts. The Subcontract Work constitutes only a part of the work being performed for Owner by Contractor and other subcontractors. Subcontractor, therefore, agrees to perform the Subcontract Work in such a manner that it will not injure, damage or delay any other work performed by Contractor or any other subcontractor, and shall be responsible to Contractor for any damages or delay that may be caused to such other work by Subcontractor or by its sub-subcontractors, agents or employees.

2.20 Use of Equipment. If Contractor allows Subcontractor to use any of Contractor's tools or equipment, Subcontractor shall do so at its sole risk. Furthermore, as part of the use of any of Contractor's tools or equipment, Subcontractor agrees to defend, indemnify and hold Contractor harmless on the same terms and conditions as required by Section 5.3 of this Subcontract, for, from and against any claims (including any claims arising from any Contractor personnel who are used to operate the tools and/or equipment), loss, damage and/or expenses, including but not limited to attorney's fees and court costs, resulting from, arising out or in connection with the use of such tools and equipment by Subcontractor.

2.21 Design Professional Compensation. Subcontractor shall be responsible, and shall reimburse Contractor, for any costs charged to Contractor to compensate a design professional for Subcontractor's actions which result in multiple inspections, multiple submittal reviews, or for responses to requests for information or interpretation which are not prepared in accordance with the Contract Documents or where such information is available from a careful study and comparison of the Contract Documents, field conditions, or other Project information, coordination drawings, or prior Project correspondence or documentation.

SECTION THREE CHANGES AND CLAIMS

3.1 Prime Contract. Contractor is not an insurer or guarantor of the Subcontract Work, of the performance by Owner of the Prime Contract, or of the accuracy of the Contract Documents furnished by Owner.

3.2 Changes in Subcontract Work. Subcontractor recognizes that Owner has certain rights to make changes to the Project, including the Subcontract Work, as provided in the Prime Contract. Subcontractor will be notified of any change order requests (CORs) by Owner with respect to the Subcontract Work. Subcontractor agrees to respond to all CORs, including all necessary cost breakdowns, to Contractor within seven (7) days of receipt. Time is of the essence for responses to any CORs and Subcontractor shall be liable for any and all additional costs and/or damages incurred resulting from the failure to provide timely and/or complete responses to any CORs. Subcontractor shall be entitled to reasonable overhead and profit on any change order issued by Owner with respect to the Subcontract Work up to the amount allowed by the Contract Documents combined for Subcontractor and all of its lower tier parties. If no amount for overhead and profit on change orders is addressed by the Contract Documents, such amount shall be fifteen percent (15%). Subcontractor shall communicate solely with Contractor and not directly with Owner regarding any change order.

3.3 Contractor Changes. Contractor may, without nullifying this Subcontract, order in writing any changes which are within the general scope of the Subcontract Work. With respect to any changes, including extra work, ordered by Contractor for its own convenience and not related to a changed condition or extra work under the Prime Contract, Subcontractor shall make no claim therefore unless the same shall have been fully agreed upon in writing by Contractor prior to the performance of such extra work. Such agreement shall set forth the changed work to be done, the compensation to be paid, and any extension of time to be granted. To be binding, any such change order must be signed by an authorized representative of Contractor.

3.4 Adjustment in Subcontract Price. If any Owner change or a Contractor change requires an adjustment in the Subcontract Price, the adjustment shall be established by one of the following methods:

- (1) mutual agreement on a lump sum with sufficient information to support the amount;
- (2) unit prices already established in the Subcontract, or if not so established, unit prices set by mutual agreement for the adjustment;
- (3) mutually determined costs plus a jointly acceptable mark up for overhead and profit in accordance with Section 3.2; or
- (4) as otherwise required by the Contract Documents.

3.5 Claims. A claim is a demand or assertion made in writing by Contractor or Subcontractor seeking an adjustment in the Subcontract Price or the Project schedule, an adjustment or interpretation of the terms of this Subcontract, or other relief arising under or relating to this Subcontract, including any disputes between Contractor and Subcontractor.

3.6 Claims Relating to Owner. Subcontractor must make all claims for changes, delays, extra work, changed conditions, loss of productivity, and any other claimed impacts with respect to Subcontract Work for which Owner is or may be liable in the same manner and within the same limits provided in the Prime Contract for like claims by Contractor and in sufficient time for Contractor to make such claims against Owner or any such claims shall be deemed waived. Contractor agrees to evaluate such claims and, if in good faith believes any such claims are valid, may submit claims to Owner on Subcontractor's behalf or, at Contractor's election, Contractor may permit Subcontractor to process a claim against Owner in the name of the Contractor for the use and benefit of the Subcontractor. In either event, Subcontractor agrees to be bound by the recovery Contractor or Subcontractor receives from Owner on any such claims, and Subcontractor shall not seek any additional recovery from Contractor. Further, Subcontractor agrees to indemnify and hold Contractor harmless for, from

and against, any attorneys' fees, court costs and litigation expenses that may be asserted by, awarded to, or retained from amounts owed Contractor by Owner as a result of the assertion of a claim by Subcontractor. Contractor agrees to pay to Subcontractor all such sums related to claims recovered on Subcontractor's behalf, less all costs, including attorneys' fees, expert fees, and litigation expenses, incurred by Contractor in any claim proceeding which is in whole or in part for the benefit of Subcontractor. Responsibility to substantiate any claim by Subcontractor for which Owner may be liable rests solely with Subcontractor.

3.7 Claims Relating to Contractor. Subcontractor shall give Contractor written notice of all claims within seven (7) days of the date when Subcontractor knew or should have known of the facts giving rise to the event for which the claim is made; otherwise, such claims will be deemed to be untimely and shall no longer be enforceable. Responsibility to substantiate any claim by Subcontractor against Contractor rests solely with Subcontractor. Pending final resolution of any such claim, Subcontractor shall proceed diligently with performance of the Subcontract Work.

SECTION FOUR INSURANCE

4.1 Prior to starting Work on the project site, Subcontractor shall provide, subject to the approval of Contractor, certificates and endorsements evidencing the insurance required within the "Attachment "E" – Insurance Conditions" of this Subcontract. Any acceptance of Certificates of Insurance or endorsements by Contractor, or failure of Subcontractor to provide Certificates of Insurance or endorsements, shall in no way limit or relieve Subcontractor of its duties and responsibilities under this Subcontract. All Insurance policies shall remain in full force and effect throughout the Project duration and any warranty or guarantee period.

SECTION FIVE INDEMNIFICATION

5.1 Intellectual Property Rights. Unless the particular design process or product is specified or required by the Contract Documents, Subcontractor shall defend, indemnify and hold harmless Contractor and Owner, their officers, directors, shareholders, subsidiaries, divisions, affiliates, employees, consultants and agents, for, from and against any and all alleged and asserted claims, damages, demands, losses, suits, liabilities, or expenses, including attorneys' fees and professional, expert or consultant fees, and court costs, for any alleged or actual infringement or violation of any patent, trademark or other intellectual property rights, arising out of, relating to, or resulting from Subcontractor's performance of the Subcontract Work to the extent such alleged or actual infringement or violation of intellectual property rights was caused in whole or in part by the acts or omissions of Subcontractor, its officers, directors, employees, consultants or agents, or anyone directly or indirectly employed by Subcontractor, or anyone for whose acts Subcontractor may be liable. Subcontractor shall pay all royalties and license fees which may be due on any processes, products, or materials which Subcontractor incorporates into the Subcontract Work.

5.2 Payment Claims. Provided Contractor is in compliance with its obligations to make payment under this Subcontract, Subcontractor shall defend, indemnify and hold harmless Contractor and Owner for, from and against any and all claims, suits, liabilities, damages, liens, or bond claims seeking payment for labor and materials that may be asserted (other than by Subcontractor) arising out of, in connection with, or related to the Subcontract Work.

5.3 Indemnification. To the fullest extent permitted by law and unless otherwise modified in Addendum "1," Subcontractor shall defend, indemnify and hold harmless Contractor, and any surety providing bonds, Owner, and Architect, including their related parent companies, affiliates, subsidiaries, successors, shareholders, officers, directors, partners, employees and agents of each (collectively "Indemnitees") for, from and against any and all alleged and asserted claims, liabilities, damages, losses, actions, suits, fines, penalties, costs and expenses, including but not limited to reasonable

attorneys' fees and professional, expert or consultant fees (including such expenses incurred in any attempt to enforce this indemnification provision), which are alleged to or may arise out of, in connection with, resulting from or related to in any manner, directly or indirectly, the performance of the Subcontract Work including, without limitation, defects in workmanship or materials, claims for bodily injury, death, damage to property, or loss of use of property and regardless of whether asserted as a breach of contract, breach of warranty, tort or any other theory of recovery and regardless of whether caused or alleged to be caused in part by the negligence or fault of an Indemnitee.

5.4 Duty to Defend. The duty to defend under this Section 5 is wholly independent of and separate from the duty to indemnify and such duty to defend exists regardless of any ultimate liability of Subcontractor. The duty to defend arises at the first assertion of a claim and shall be based on any allegations that may arise out of or relate to the Subcontract Work regardless of the validity of any such claim or its ultimate resolution.

5.5 Survival. In any and all claims against any of the Indemnitees by any employee of the Subcontractor or one of its subcontractors, or anyone directly or indirectly employed by any of them, or anyone for whose acts any of them may be liable, the indemnification obligation under Section 5.3 will not be limited in any way by any limitation in the amount or type of damages, compensation or benefits payable under any worker's compensation acts, disability benefit acts or other employee benefit acts. This indemnity applies during the entire period of this Subcontract and shall survive the expiration or termination of this Subcontract.

SECTION SIX DEFAULT, TERMINATION AND REMEDIES

6.1 Default. In the event that Subcontractor refuses or fails to perform the Subcontract Work in a manner consistent with this Subcontract, fails to supply enough properly skilled workers, proper materials, or maintain the Project schedule; or fails to make prompt payment to its workers, subcontractors or suppliers, or unions (for amounts due under collective bargaining agreements or trust funds); or disregards laws, ordinances, rules, regulations or orders of any public authority having jurisdiction; or otherwise fails to perform in accordance with the provisions of this Subcontract, Contractor may give Subcontractor notice that it has three (3) Working Days within which to cure any such failure. In the event that Subcontractor fails to cure after written notice from Contractor, Contractor may, at its option, give Subcontractor written notice that it is in default of this Subcontract.

6.1.1 If Contractor declares Subcontractor in default, then Contractor, without limitation, shall have the right to any or all of the following remedies:

- (a) to enjoin or restrain such default and to demand and to have specific performance;
- (b) to receive and recover damages resulting from such default;
- (c) to withhold or to offset any progress, final or other payments under this Subcontract or any other agreement between the parties now or hereafter in effect;
- (d) without being deemed to have waived or cured any such Subcontractor default, to perform any act and make any payment for which Subcontractor is in default, in which event all expenses, costs, losses, damages, and fees (including, without limitation, attorneys' fees) suffered or incurred in so doing, plus fifteen percent (15%) of such costs and expenses for overhead and administrative costs, shall immediately constitute indebtedness due and owing from Subcontractor. In exercising this right, Contractor shall be entitled to enter the Project site, take possession, and use any materials, tools, and equipment for such purpose; and/or
- (e) to terminate this Subcontract in accordance with Section 6.2.

6.1.2 In the event any such default cannot be reasonably cured within three (3) Working Days, Subcontractor shall provide an appropriate plan in writing to Contractor setting forth the intended process to cure any such default and Subcontractor shall proceed with all due speed to implement and complete the plan to cure any such default. Any such plan must include, at a minimum, specific information as to the steps Subcontractor intends to take and the time within which the default will be cured and must be approved in writing by Contractor.

6.1.3 In the event of an emergency affecting the safety of persons or property, Contractor may correct any such failure to perform without first giving prior written notice to Subcontractor but shall thereafter give prompt written notice of such action to Subcontractor.

6.2 Termination. If Subcontractor fails to satisfactorily correct such default within the time provided after written notification issued under Section 6.1, then Contractor may, instead of or in addition to the remedies set forth in Section 6.1, issue a second written notification to Subcontractor informing Subcontractor that its performance under this Subcontract is terminated.

6.2.1 In the event of termination, and upon Contractor's written request, Subcontractor shall immediately remove from the Project site all of its employees, equipment, tools, supplies and materials without any disruption of the work in progress and at its own cost and expense. Should Subcontractor fail to do so, Contractor shall be entitled, but shall be under no obligation, to remove and store any equipment, tools, supplies and materials at Subcontractor's cost and expense.

6.2.2 Further, in the event of termination, Contractor shall be entitled to enter the Project site for the purpose of completing the Subcontract Work and shall be permitted to take possession of all materials, tools and equipment to finish the Subcontract Work either by itself or through other contractors.

6.2.3 In the event of termination, Subcontractor shall be deemed to assign to Contractor every agreement that Subcontractor has with sub-subcontractors, materialmen, suppliers, labor companies, and/or consultants that Contractor notifies Subcontractor in writing that it accepts for assignment.

6.2.4 In the case of termination, Subcontractor shall not be entitled to receive any further payment until the Subcontract Work is completely finished, at which time, if the unpaid balance of the amount to be paid under this Subcontract exceeds the expense incurred by Contractor, including an overhead fee of fifteen (15%) percent of the cost incurred in completing the Subcontract Work, such excess shall be paid by Contractor to Subcontractor. However, if such expense exceeds any such unpaid balance, Subcontractor shall immediately pay the difference to Contractor.

6.3 Insolvency or Bankruptcy. In the event Subcontractor voluntarily or involuntarily becomes subject to bankruptcy proceedings, makes an assignment for the benefit of creditors, becomes insolvent, or has a trustee, receiver or liquidator appointed for any part or all of its assets, this Subcontract shall terminate. Notwithstanding the foregoing, if the Subcontractor, or Subcontractor's trustee in bankruptcy, if any, gives notice of its intent to assume this Subcontract and provides adequate assurance of its ability to perform hereunder, this Subcontract shall not be terminated but shall still be subject to the provisions of Sections 6.1 and 6.2.

Contractor, while awaiting the decision of Subcontractor or its trustee to reject or to assume this Subcontract and to provide adequate assurance of its ability to perform, may avail itself of such remedies under Section 6 as are reasonably necessary to comply with Contractor's obligations under the Prime Contract.

6.4 Termination for Convenience. Contractor has the right to terminate this Subcontract without cause and at Contractor's convenience upon five (5) days' notice. Upon termination of this Subcontract for Contractor's convenience, Subcontractor will immediately cease performance of all Subcontract Work and remove all of its tools, equipment and

personnel from the Project site and Subcontractor will have no claim of any kind whatsoever against Contractor for breach of this Subcontract and Contractor will be liable only for the cost of the Subcontract Work actually completed in accordance with the Contract Documents, including reasonable overhead and profit on completed Subcontract Work by Subcontractor prior to termination, less all sums previously paid to Subcontractor and less all deductions made or permitted to be made by Contractor pursuant to this Subcontract. In the event any termination by Contractor under Sections 6.1, 6.2, or 6.3 of this Subcontract is found to be improper or wrongful, then any such termination shall be deemed a termination for convenience under this Section 6.4 and Subcontractor's recovery shall be limited to the amounts due under this Section.

6.5 Suspension of the Work by Owner. Should Owner suspend, delay, or interrupt the performance of the Prime Contract, or any part of which affects the Subcontract Work, then Contractor shall so notify Subcontractor in writing and Subcontractor shall immediately suspend, delay, or interrupt that portion of the Subcontract Work as ordered by Contractor. Any claim by Subcontractor for any damages caused by said suspension of the Subcontract Work shall be subject to Section 3 of this Subcontract.

6.6 Termination by Owner. Should Owner terminate the Prime Contract, or any part of which includes the Subcontract Work, Contractor shall notify Subcontractor and Subcontractor shall immediately stop the Subcontract Work and follow Contractor's instructions concerning termination procedures. In the event that Owner terminates the Prime Contract for the convenience of Owner, then Subcontractor's claim for any damages resulting from termination shall be subject to Section 3 of this Subcontract.

6.7 Contingent Assignment of Subcontract. If required by the Prime Contract, Contractor may assign this Subcontract to Owner. The assignment shall be effective when Owner has terminated the Prime Contract and has accepted the assignment by notifying Subcontractor in writing. Subcontractor hereby consents to such assignment and agrees to be bound to Owner, as assignee, by the terms of this Subcontract.

6.8 Suspension by Contractor for Convenience. Contractor may order Subcontractor to suspend, delay or interrupt all or part of the Subcontract Work for such period of time as may be determined to be appropriate for the convenience of Contractor. In such case, any claim by Subcontractor is subject to Section 3 of this Subcontract.

6.9 Termination by Subcontractor. If Subcontractor has not received payments that it was entitled to receive under this Subcontract, or if the Subcontract Work has been abandoned or suspended for an unreasonable period of time due to no fault or neglect of Subcontractor, Subcontractor shall give Contractor written notice with fifteen (15) days to cure. Subcontractor, upon failure of Contractor to cure, may terminate this Subcontract upon giving Contractor an additional fifteen (15) days prior written notice. Upon such termination, Subcontractor will be entitled to recover from Contractor payment for all Work satisfactorily performed but not yet paid for, including reasonable overhead and profit, subject to the conditions of Owner payment set forth in Section 1.12 of this Subcontract. In no event shall Subcontractor be entitled to payment for work not performed or overhead and profit on work not performed.

SECTION SEVEN RESOLUTION OF DISPUTES

7.1 Subject to the limiting provisions set forth below and as may be enumerated in Addendum "1", all claims, disputes and other matters in question between Contractor and Subcontractor that are not subject to Section 3.6 of this Subcontract, arising out of, or relating to this Subcontract or the breach thereof shall be decided according to the procedures set forth in this Section 7.

7.2 Continuance of Services and Payment. Unless otherwise agreed in writing, Subcontractor shall continue to perform its Subcontract Work during any dispute resolution proceeding. If Subcontractor continues to perform, Contractor shall continue to make payments in accordance with this Subcontract for amounts not in dispute.

7.3 Direct Discussions. If the parties cannot reach resolution on a matter relating to or arising out of this Subcontract, the parties shall endeavor to reach resolution through good faith direct discussions between representatives who shall possess the necessary authority to resolve such matter and who shall record the date of first discussions. If the parties' representatives are not able to resolve such matter within five (5) business days of the date of first discussion, the parties' representatives shall immediately inform senior executives of the parties in writing that resolution was not achieved. Upon receipt of such notice, the senior executives of the parties shall meet within five (5) business days to endeavor to reach resolution.

7.4 Mediation. If direct discussions pursuant to Section 7.3 do not result in resolution of the matter, as a condition precedent to binding dispute resolution under Section 7.5 or Section 7.6 below, the parties shall endeavor to resolve the matter by mediation conducted by a mutually agreed upon mediator, and failing such agreement, the mediator shall be selected and the mediation conducted according to the Construction Industry Mediation Rules of the American Arbitration Association. The mediation shall be convened within seventy-five (75) calendar days of the matter first being discussed. A party may terminate the mediation at any time after the first session, and the decision to terminate shall be delivered in writing to the other party and to the mediator. The costs of the mediation shall be shared equally by the parties.

7.5 Arbitration. All claims, disputes, and other matters in question between Contractor and Subcontractor involving claims which in good faith are in an amount of controversy up to and including \$1,000,000.00 arising out of or relating to this Subcontract or the breach thereof shall be decided by arbitration which shall be held in accordance with the Construction Industry Arbitration Rules of the American Arbitration Association. The arbitrator shall be an attorney with at least ten (10) years' experience in construction law. The award rendered by the arbitrator shall be final, and judgment may be entered upon it in accordance with applicable law in any court having jurisdiction.

7.5.1 Notice of the demand for arbitration shall be filed in writing with the American Arbitration Association. The demand for arbitration shall be made within a reasonable time after the claim, dispute or other matter in question has arisen, and in no event shall it be made after the date when institution of legal or equitable proceedings based on such claim, dispute or other matter in question would be barred by the applicable statute of limitations or statute of repose.

7.5.2 Unless otherwise agreed in writing, if a demand for arbitration is filed before completion of the Subcontract Work, Subcontractor shall carry on the Subcontract Work and shall maintain its progress during any arbitration proceedings.

7.6 Litigation. If a dispute involves claims that in good faith involve an amount of controversy of \$1,000,001.00 or more and remains unresolved after submission of the matter to mediation as set forth above, the dispute shall be subject to litigation.

7.7 Waiver of Jury Trial. To the fullest extent permitted by applicable law, Contractor and Subcontractor waive their right to a trial by jury with regard to all claims that may be asserted in litigation, with all such claims to be decided by a judge.

7.8 Joinder. In the event any litigation, arbitration or other form of alternative dispute resolution as may be provided for in the Prime Contract between Owner and Contractor concerns any part or all of the Subcontract Work, Contractor shall have the right at its election to have Subcontractor join in such proceedings as a party and to be bound by the result. To the extent that the dispute between Contractor and Owner involves matters relating to any Subcontract Work, and regardless of whether or not Subcontractor is joined in the proceedings, it shall be the responsibility of Subcontractor to present all witnesses, documents, and other information sufficient to set forth Subcontractor's position.

7.9 Attorneys' Fees. In the event of any litigation or arbitration arising out of or relating to the Subcontract Work, the prevailing party shall be entitled to recover its reasonable attorneys' fees and expenses (including those of expert witnesses)

as determined by the judge or arbitrator, as applicable. The prevailing party determination shall be made by taking in to account the demands of the parties and the relative success on the merits considering the totality of the circumstances of the entire dispute.

7.10 Location. Unless otherwise specified in Addendum "1" or otherwise agreed to in writing by the parties, the dispute resolution procedures set forth in this Section 7 shall take place at or near the location of the Project.

SECTION EIGHT COMPLIANCE WITH LAW

8.1 Records. As it relates to the Subcontract Work, Subcontractor shall keep and have available all necessary records and shall make all payments, reports, collections and deductions, and otherwise do any and all things so as to fully comply with all federal, state and local laws, ordinances and regulations in regard to: (i) the production, purchase and sale, furnishing and delivering, pricing and use or consumption of materials, supplies and equipment; (ii) the hiring, retention and conditions of employees and their hours of work and rates of and the payment of their wages; (iii) the keeping of records, making of reports, and the payment, collection and/or deduction of federal, state and local taxes and contributions; and (iv) the compliance with all federal and state laws and regulations pertaining to eligibility to work in the United States or possessions. Subcontractor shall, to the extent required by applicable law, verify through the E-Verify Program, the employment eligibility of each employee hired after December 31, 2007.

8.2 Expenses. Subcontractor also shall: (i) comply with all federal and state laws, codes, and regulations and all municipal ordinances and regulations in effect where the Subcontract Work is to be performed; (ii) pay all costs and expenses in connection with such compliance; (iii) pay all fees and taxes (including sales transaction and use taxes, if applicable) and also pay all taxes imposed by any state or federal law for any employment insurance, pensions, old age retirement funds or any similar purpose; and (iv) furnish all necessary reports, and information to the appropriate federal, state, county and municipal agencies, with respect to all of the foregoing.

SECTION NINE SAFETY

9.1 Hazard Communications. Subcontractor, at its own expense, shall provide Contractor any and all site specific literature and information for submissions of hazard materials and hazard communications as required by the Occupational Safety and Health Standards as set forth in Chapter 29 of the Code of Federal Regulations, Part 1910, including, but not limited to, all those that deal with written hazard communications programs, and other forms of warning, Safety Data Sheets and employee information and training.

9.1.1 Subcontractor will have sole and exclusive responsibility for training its employees in the proper handling of hazardous materials or participation in hazardous operations and the precautionary measures required. Subcontractor will supply all protective clothing and devices necessary to protect its employees from hazardous materials while on the Project site.

9.1.2 If Subcontractor encounters material(s) reasonably believed to be hazardous that have not been rendered harmless, Subcontractor will immediately stop all work in the area affected and report, in writing, the condition to Contractor. If the material(s) are hazardous and have not been deemed harmless, the Subcontract Work in the affected area will not be resumed until written agreement to resume is received from the Contractor. Subcontractor will not store, dump, release or emit any oil, hazardous waste, or other hazardous materials on, at, under or in the vicinity of the Project site.

9.2 Safety Program. Subcontractor, at its own expense, shall take all reasonable precautions to protect persons and property at or adjacent to the Project site from damage, loss or injury resulting from Subcontractor, its employees, or other agents in their performance of the Subcontract Work. If any accident occurs, or any person is injured, or property is damaged at or near the site resulting from the performance of the Subcontract Work, Subcontractor shall notify Contractor immediately and confirm such incident in writing within 24 hours.

9.2.1 Subcontractor shall maintain its own safety program which shall conform to the safety policies of Owner and Contractor, and which meets all applicable federal, state, and local safety related laws and regulations. In the event Subcontractor does not have its own safety policy, it agrees to abide by Contractor's Safety and Health program and will adapt Contractor's program to the Subcontractor's Work. A copy of the Contractor's Safety and Health program is available upon written request. If Subcontractor uses Contractor's Safety and Health program, it shall be at Subcontractor's sole risk and subject to the Indemnification provisions of this Subcontract.

9.3 Safety of Subcontractor Employees. Subcontractor acknowledges and agrees that it, and not Contractor, shall at all times be responsible for the direction, supervision and monitoring of its employees, agents and laborers with regard to safety practices in the performance of the Subcontract Work and in the correction of unsafe conditions. Subcontractor further acknowledges and agrees that Contractor does not possess or retain any actual or constructive control over the manner in which Subcontractor and its employees, agents and/or laborers perform the Subcontract Work. Subcontractor agrees Contractor does not owe a duty to ensure Subcontractor, its employees or other agents perform their work in a safe manner. Subcontractor's duty to supervise and monitor safety practices in the performance of the work and in correcting unsafe conditions shall include, but not be limited to, the following: (i) compliance with all items in the "CORE Construction General Safety Rules" document; (ii) the cleaning of the Project site; the use and wearing of hard hats, protective eyewear, and other required protective equipment; (iii) the use of proper fall protection; (iv) the proper use, location, maintenance and repair of scaffolds, ladders, railings, barricades, and covers; and; (v) the proper use, maintenance, and repair of all power tools.

9.4 Safety Procedures. Subcontractor shall comply with the following:

9.4.1 Before beginning any Subcontract Work, Subcontractor shall provide Contractor with a written Site-Specific Safety Plan in a form acceptable to Contractor and shall attend a pre-construction safety meeting at which time Subcontractor will outline how it will address hazards related to the Subcontractor Work.

9.4.2 Subcontractor shall perform a written daily or weekly Activity Hazard Analysis (AHA) for each definable feature of work. Subcontractor shall communicate the completed AHA with its employees and submit a copy of the AHA to Contractor as required. The AHA shall include the task involved, the hazards associated with the task, and the method(s) that will be used to mitigate the identified hazards. Subcontractor shall communicate its AHA to and coordinate with other trades which may be affected by any of the Subcontractor Work.

9.4.3 Subcontractor shall provide a safety and protection orientation for each of its employees on the employee's first day on the Project site.

9.4.4 Hard hats, safety glasses and high visibility vests, jackets or shirts, work boots, and long pants shall be worn at all times. Tank tops and cut off shirts are not permitted.

9.4.5 Hearing protection, appropriate respirators, and face shields or goggles shall be worn as required by the appropriate standards.

9.4.6 Any employee exposed to a fall of 6-foot or greater must utilize fall protection or fall arrest systems. Fall arrest systems must include a body harness, appropriate lanyard and available attachment points capable of sustaining loads outlined by OSHA and/or other applicable governing authorities.

9.4.7 Subcontractor shall provide work task lighting necessary for the Subcontract Work.

9.4.8 Subcontractor shall contact the applicable locator services before performing any underground work on-site. Subcontractor shall provide the location of all underground facilities as part of its as-built drawings required by Section 2.13.

9.4.9 Subcontractor shall provide all necessary dust control associated with the Subcontractor Work.

9.4.10 Subcontractor shall perform housekeeping and shall maintain a clean site in accordance with Contractor's and/or state and local requirements.

9.4.11 Radios and headphones are prohibited other than for jobsite communication.

9.4.12 Cell phone use for personal (non-business) reasons is prohibited while working.

9.4.13 Smoking is prohibited except in designated areas.

9.4.14 If Subcontractor employs non-English speaking personnel at the Project site, Subcontractor shall provide supervisory personnel fluent in both English and the non-English language spoken by such employees.

9.4.15 Possession or use of any substance that can cause impairment (alcohol, non-prescribed medications, illegal drugs, or prescription/non-prescription drugs which warn user of impairment) is strictly prohibited. Anyone in violation of this policy, as well as anyone who reports to the Project site under the influence, will be dismissed from the site.

9.4.16 No dogs, cats or any other animals are permitted at the Project site.

All tiers of subcontractors are subject to the standards contained within this Section 9 including the following disciplinary policy.

9.5 Disciplinary Actions. Subcontractor agrees to enforce compliance with the following disciplinary actions as a result of a written warning of a safety violation:

First Offense: Employee receives a verbal or written warning.

Second Offense: Employee receives a written warning. Subcontractor home office is notified. Employee must receive training prior to resuming any Subcontract Work.

Third Offense: Employee may be temporarily or permanently removed from the Project site.

These are minimum disciplinary standards. If the non-compliant activity involves an immediate danger to life and health in the reasonable discretion of Contractor, immediate removal from the Project site may result.

9.6 Anti-Harassment. Contractor has a **zero-tolerance** policy for all behavior that is prohibited under Contractor's EEO/AA, Sexual Harassment, and Workplace Violence policies. These policies apply to Contractor's employees as well as to subcontractors working at any of Contractor's sites or properties. Contractor will require Subcontractor to remove any of Subcontractor's employees who violate these policies. By issuing and enforcing these policies, it is the intent of Contractor to ensure that while working on Contractor's sites or properties, employees, customers, vendors, and subcontractors never feel threatened, intimidated, or harassed by any individual's actions, presence, conduct or communication.

9.7 No Weapons. Contractor **Strictly Prohibits** employees and subcontractors from possessing a prohibited weapon (as defined below) on jobsites, Contractor's offices, or other offices (e.g., Owner or Architect) when performing any work on a Project for Contractor; regardless of whether the person is licensed to carry the weapon. This policy does not restrict the rights of an employee or subcontractor who **lawfully** possesses a firearm or ammunition from transporting or storing the firearm or ammunition the employee is authorized to possess in a locked, privately owned motor vehicle in a parking area provided for them. Possession and storage of any such firearm or ammunition must be in accordance with **state and federal law**. This policy does not restrict the ability of police officers, security guards or other persons who have been given consent by Contractor to lawfully carry a weapon on the premises.

In addition to firearms and ammunition as described above, other weapons prohibited by this policy include any form of weapon or explosive restricted under local, state or federal regulation, or knives more than three inches in length. Legal, chemical dispensing devices, such as pepper spray, which are sold for personal protection, are excluded from this prohibition. Contractor property covered by this policy includes, without limitation, all Contractor-owned or leased buildings and surrounding areas, such as sidewalks, walkways, driveways and parking lots under the Contractor's ownership or control. Contractor jobsites covered by the policy include jobsites controlled by developers, owners, general contractors, or Contractor itself.

Violations of this policy will result in disciplinary action. Contractor enforces this policy consistent with applicable **state and federal law**.

9.8 Certification. Subcontractor certifies it has read the CORE Construction General Safety Rules and that all employees and sub-subcontractors will abide by these safety rules and regulations as well as all OSHA regulations as they apply to the Subcontractor Work.

9.9 Indemnification for OSHA or Safety Violations. Subcontractor shall defend, indemnify and hold harmless Contractor for, from and against all liability, loss, damage, cost, claims, awards, judgments, fines, expenses, or liabilities for harm to person or property, expenses incurred pursuant to or attendant to any hearing or meeting (including reasonable attorney's fees and expert expenses), and any other applicable costs which may be incurred by Contractor resulting from or relating to Subcontractor's failure to fulfill its obligations under this Section Nine. Subcontractor's obligations under this Section specifically include, but are not limited to, Subcontractor's indemnification of Contractor for any penalties issued against Contractor as a result of any violation by Subcontractor, its employees, sub-subcontractors, agents or laborers, of any regulations and requirements relating to or in connection with Subcontractor's performance of the Subcontract Work.

9.10 Public Protection. Subcontractor shall provide, erect, and maintain proper warning signals, signs, lights, barricades and fences on and along the line of the Subcontract Work and shall take all other necessary precautions for the protection of the Subcontract Work and for the safety of the public.

9.11 Project Protection. Subcontractor shall maintain, remove, or replace any elements of construction or temporary barriers or protection damaged or removed by Subcontractor's personnel at Subcontractor's expense. Similarly, Subcontractor shall provide protection of adjacent surfaces while performing the Subcontractor Work. If an adjacent surface or finished work is damaged during performance of the Subcontractor Work, as determined by Contractor, a 24-hour notice to repair will be given to Subcontractor. If Subcontractor does not take timely action, Contractor reserves the right to make repairs at the cost and expense of Subcontractor, including an additional fifteen percent (15%) of such costs for Contractor's overhead and profit.

SECTION TEN MISCELLANEOUS

10.1 Possession Prior to Completion. Whenever it may be useful or necessary for Contractor to do so, Contractor shall be permitted to occupy or use any portion of the Subcontract Work which has been either partially or fully completed by Subcontractor before final inspection and acceptance by Owner, but such use and/or occupation shall not relieve Subcontractor of its warranty of the Subcontract Work and materials, nor of its obligation to make good at its own expense any defect in materials and/or workmanship, provided no damage has occurred due to Contractor's occupancy or use.

10.2 Architect-Engineer. The words "Architect" or "Engineer" as used herein refer to the person appointed by Owner in accordance with the Prime Contract.

10.3 Assignment. Subcontractor shall not assign or sublet the Subcontract Work either in whole or in part without the prior written consent of Contractor which may be withheld in Contractor's sole discretion.

10.4 Equal Opportunity. During the performance of the Subcontract Work, Subcontractor shall not discriminate against any of its employees because of race, color, creed, religion, national origin, or other protected class.

10.5 Working Hours and Holidays. The working hours on the Project shall be set by the Contractor's Representative and Subcontractor shall observe these hours unless directed otherwise by the Contractor's Representative. Contractor will observe the following holidays and Subcontractor shall observe the same holidays on the Project unless directed otherwise by Contractor: New Year's Day, Memorial Day, Independence Day, Labor Day, Thanksgiving Day, Day after Thanksgiving, and Christmas Day.

10.6 Days. As used in this Subcontract, the term "Working Days" shall mean those days on which the Project is available for Subcontract Work to be performed. Unless otherwise defined in this Subcontract, the terms "day" or "days" shall mean calendar days.

10.7 Attachments. All attachments, endorsements and exhibits affixed to this Subcontract shall be part of this Subcontract.

10.8 Amendments and Modifications. Any amendments or modifications to this Subcontract or any of the exhibits hereto must be in writing and signed by the parties in order to be enforceable. This Subcontract and any of the exhibits hereto may not be modified verbally.

10.9 Severable Provisions. In the event that any term or provision of this Subcontract shall be deemed unenforceable, it shall be treated as having been rewritten in as similar terms as possible so as to be enforceable to the fullest extent of the law. Alternatively, any such provision shall be deemed severable, and its invalidity or unenforceability shall not affect any other term or provision of this Subcontract.

10.10 Binding Effect. This Subcontract shall bind the heirs, executors, successors and assigns of the parties hereto.

10.11 Governing Law. This Subcontract shall be governed and construed by the laws at the location of the Project unless otherwise modified in accordance with Addendum "1".

10.12 Text Messages. Any text message or other form of electronic communication sent from one cell phone to another, and excluding electronic mail communications, shall not constitute a form of written communication or a form of Notice permitted under this Subcontract.

10.13 Signage. Without Contractor's written permission, Subcontractor shall not post or display on the Project site any sign, banner or other object advertising Subcontractor and shall prevent its sub-subcontractors and suppliers from doing the same.

10.14 Record Retention. Subcontractor shall maintain all Project records for a period of five (5) years after Final Completion. To the extent the Subcontract Work is performed on a time and material, cost plus, or cost plus with GMP basis, Contractor shall have the right to audit all books and records of Subcontractor as it relates to the Project.

10.15 Headings/Construction. The section and paragraph headings contained in this Subcontract are for reference purposes only and shall not affect in any way the meaning or interpretation of this Subcontract. The language and all parts of this Subcontract shall in all cases be construed according to its fair meaning, and neither this Subcontract, nor any provision of this Subcontract, shall be construed strictly for or against either Contractor or Subcontractor as the result of its role in the preparation of this Subcontract or otherwise.

10.16 Complete Agreement. This Subcontract represents the complete agreement between the parties and supersedes any and all prior negotiations, understandings or agreements between the parties. There are no representations, promises, agreements, orally or in writing, which are not embodied in this Subcontract and the exhibits hereto.



ADDENDUM NUMBER 1
STATE SPECIFIC PROVISIONS FOR THE STATE OF NEVADA

The laws of the State in which the Subcontract Work is to be performed shall govern the Subcontract. The following provisions of the "Exhibit A - Subcontract General Conditions" are modified to further comply with the laws of the State in which the Subcontract Work is to be performed. Except as expressly modified by this Addendum 1, all of the provisions of the Subcontract remain unaltered and in full force and effect.

1. Interpretation. In any instance that a provision in the Subcontract or this Addendum 1 is broader than that allowed by applicable law, such provision shall be given its broadest permissible meaning and shall only be limited to the extent necessary to comply with applicable law.
2. Prompt Pay for Publicly Owned or Financed Projects. If the Project involves public works not sponsored by the Nevada Department of Transportation, the payment requirements contained in Section 1.1 are replaced with the following: "Contractor shall pay Subcontractor within ten (10) days after receiving payment, including interest, from the public agency."

If the Project is sponsored by the Nevada Department of Transportation, the payment requirements of Section 1.1, are replaced with the following: "Contractor shall pay Subcontractor with fifteen (15) days after receiving payment, including interest, from the Nevada Department of Transportation."

3. Retainage. Contractor may retain up to five percent (5%) of each monthly payment due to Subcontractor. Final release of retainage will be made at final payment.
4. Prevailing Wages. In addition to the requirements of Section 1.5 and Section 8.1, to the extent required on public works projects, Subcontractor shall comply with Nevada's prevailing wage laws including, without limitation, NRS 338.020, et seq.
5. Lien Waivers. Lien waivers required in Section 1.9 must conform to the requirements of NRS 108.2457.
6. Condition Precedent to Payment. Section 1.12 is stricken in its entirety.
7. Assignment. If the Project involves public works, in addition to the prior written consent of Contractor as provided in Section 10.3, any consent to assignment or to subletting any portion of the Subcontract Work shall also subject to the approval of the awarding authority.
8. Continuance of Services and Payment. Section 7.2 shall be replaced in its entirety with the following:

Subcontractor shall continue to perform its Subcontract Work during any dispute resolution proceeding unless it has properly elected to stop work in accordance with Nevada law. If Subcontractor continues to perform, Contractor shall continue to make payment in accordance with this Subcontract for amounts not in dispute.

9. Location. Section 7.10 shall be replaced in its entirety with the following:

Unless otherwise agreed to in writing by the parties, the location of the dispute resolution procedures set forth in this Section 7 shall be either in Clark County or Washoe County, Nevada.